



The Health & Welfare Compliance Blueprint

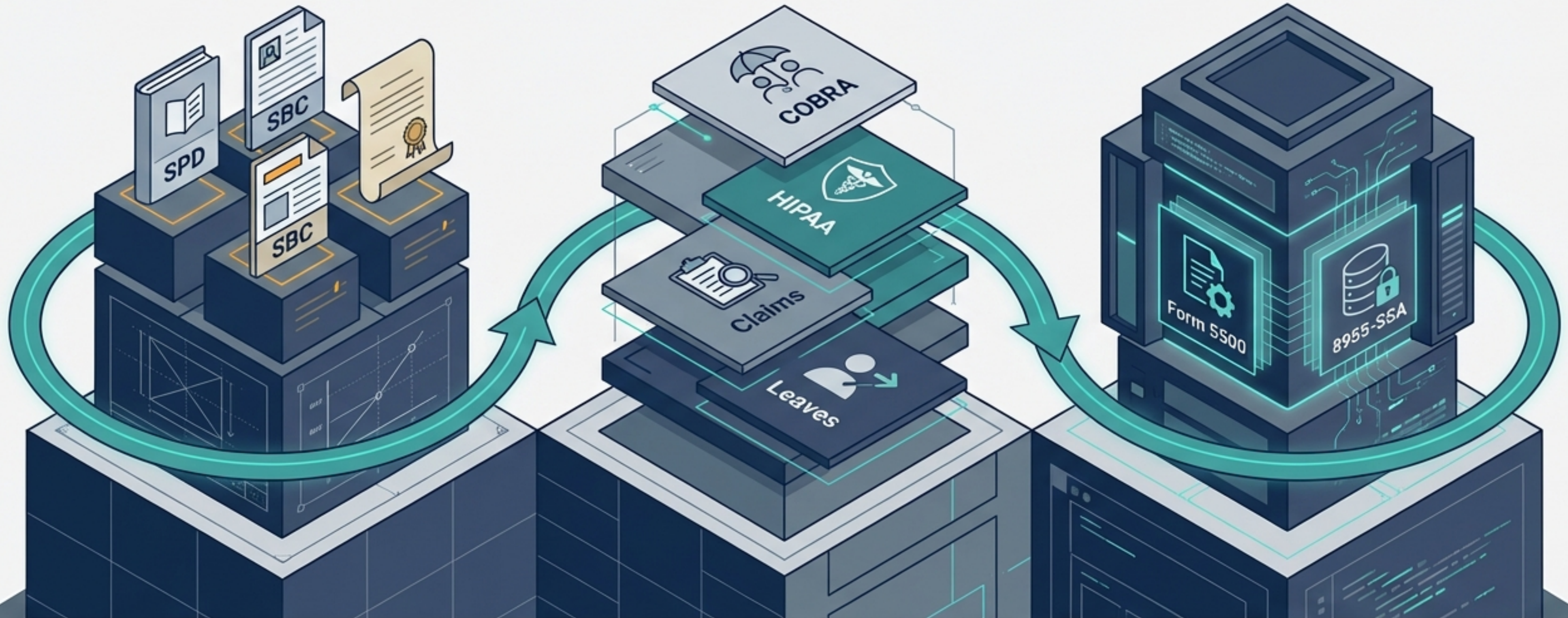
Navigating ERISA Mandates, Participant Rights, and Form 5500 Execution



PLAN DOCUMENTATION

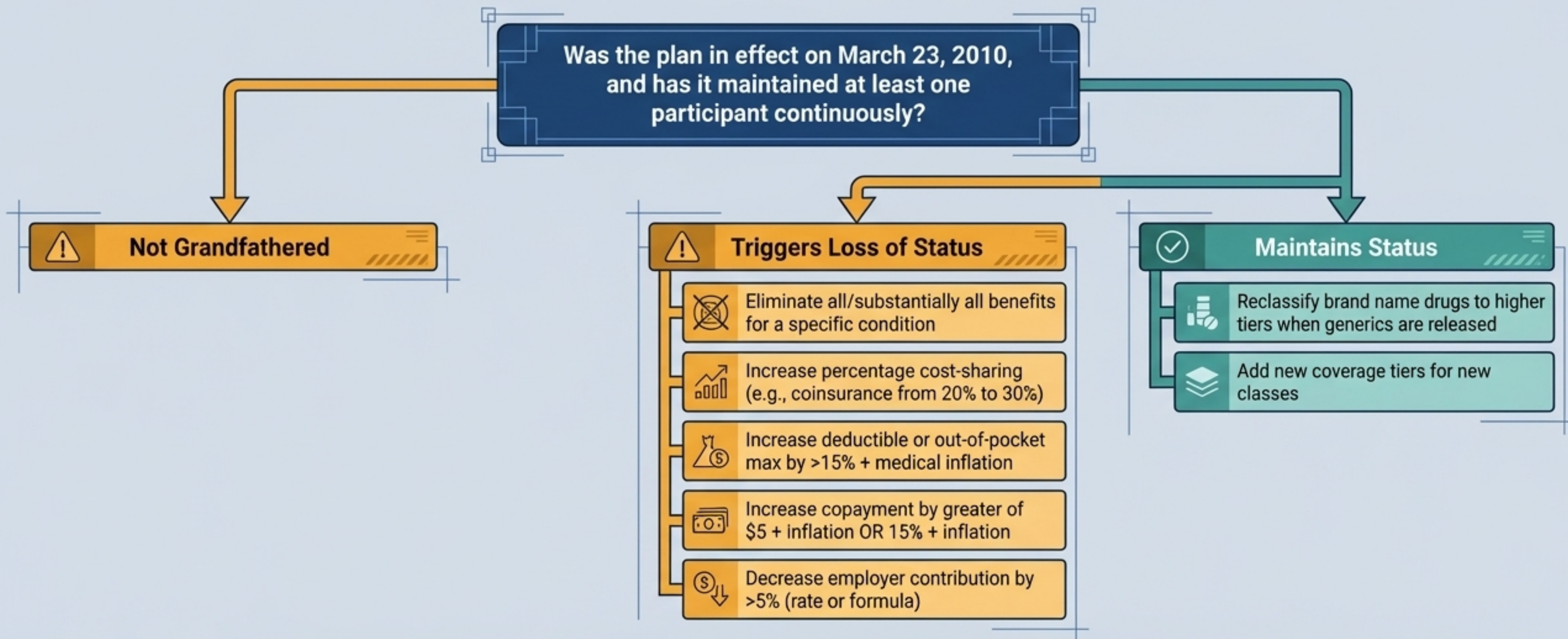
PARTICIPANT RIGHTS

ANNUAL REPORTING



Compliance is not a single act. It is a continuous loop linking plan design to participant administration, culminating in annual federal reporting.

Maintaining "Grandfathered" Status

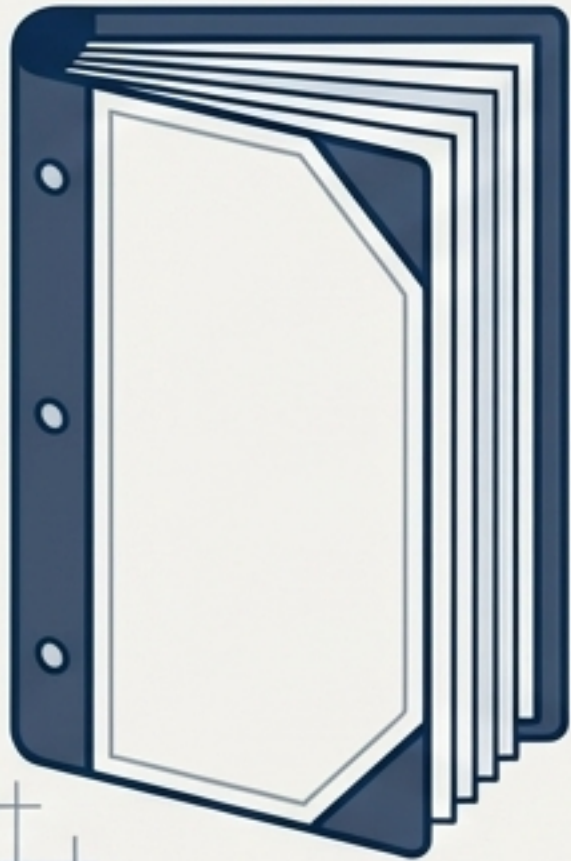


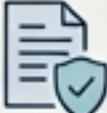
Key Insight:

Grandfathered plans bypass certain ACA mandates (e.g., zero-dollar preventive care), but status is fragile. All changes are measured cumulatively since March 23, 2010.

Core Disclosures: SPD vs. SBC

Summary Plan Description (SPD) The Rulebook



- ◆ **Delivery:** Within 90 days of enrollment (120 days for a new plan). 
- ◆ **Update Cycle:** Every 5 years if amended; 10 years if unamended. 
- ◆ **Contents:** Comprehensive ERISA rights, eligibility, claims procedures, COBRA rights. 

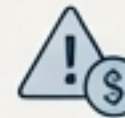
Summary of Benefits and Coverage (SBC) The Cheat Sheet



- ◆ **Format:** Strict maximum **4-page**, double-sided, 12-pt font template.



- ◆ **Delivery:** At application, renewal, or within 90 days of special enrollment.

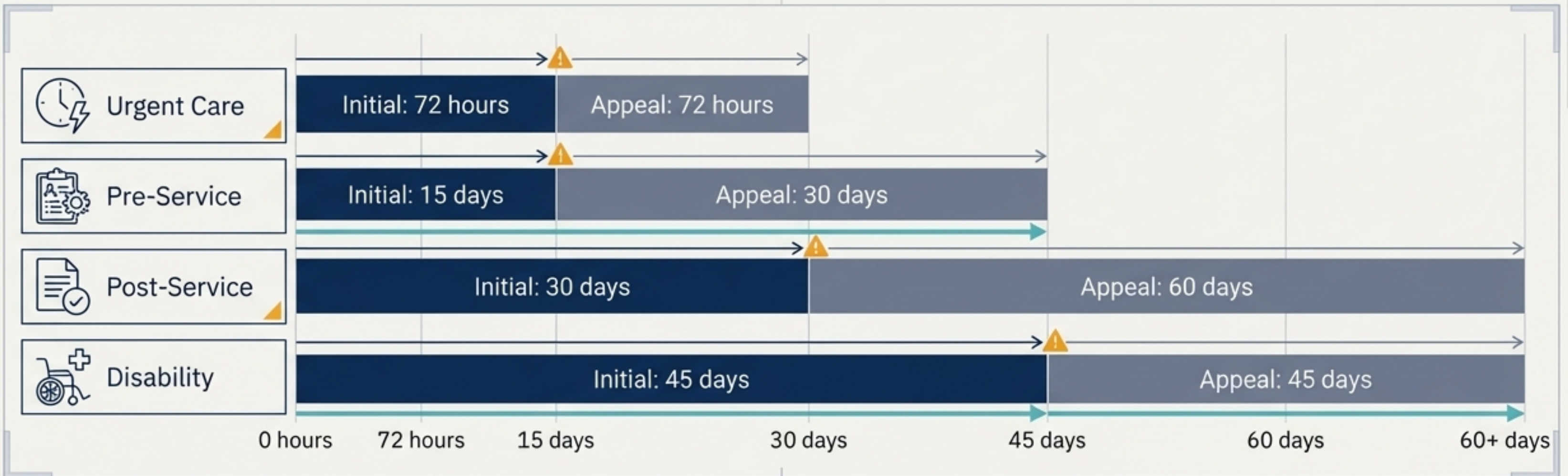


- ◆ **Penalty:** \$1,128 per enrollee per failure.



60-Day Advance Notice Requirement: Mandatory for mid-year material modifications affecting the SBC.

Claims & Appeals Procedure Timelines



The Full & Fair Review Mandate

Denials must provide specific reasons, reference plan provisions, identify relied-upon rules/guidelines, and provide culturally/linguistically appropriate notices for populations meeting the 10% threshold.

The COBRA Continuation Lifecycle



Leaves of Absence: FMLA vs. USERRA

Triggers/Key Feature	FMLA	USERRA
Triggers	Requires 50+ employees within 75 miles; employee needs 1,250 hours/1 year service.	Applies to all employers; protects military service members.
Max Duration	Up to 12 weeks unpaid leave (26 weeks for military caregiver).	Up to 5 years cumulative duration.
Health Benefit Continuation	Employer must maintain health benefits on the exact same terms.	Up to 24 months of health continuation (employee pays up to 102% premium if leave exceeds 31 days).
Reinstatement	Reinstatement to same or equivalent position.	Immediate job reinstatement rights with accrued seniority.

HIPAA Privacy & Security Framework

Privacy Standards



Protects PHI (Protected Health Information).



Governed by the Minimum Necessary standard.



Requires Business Associate Agreements (BAAs) and Privacy Notices (with 3-year availability reminders).

Security Standards



Protects ePHI (electronic PHI).



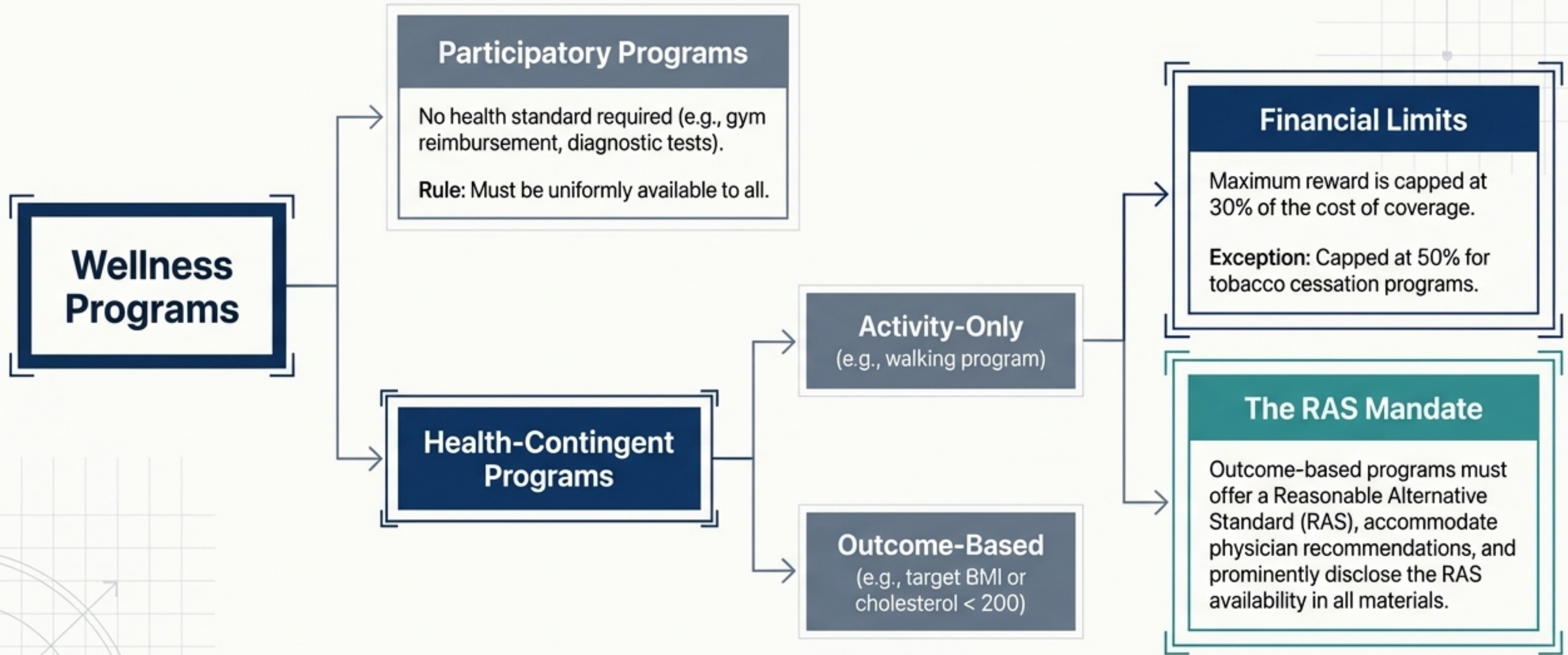
Mandates Administrative, Physical, and Technical safeguards to ensure data integrity and availability.



The Omnibus Rule Expansion

Direct liability now applies to Business Associates and subcontractors. Ransomware encryption of ePHI is presumed a breach requiring a formal 4-factor risk assessment (nature of PHI, unauthorized person, actual acquisition, mitigation extent).

Architecting Compliant Wellness Programs



Exception: Supplemental gap plans are exempt if cost does not exceed 15% of primary coverage.

HIPAA (Health Factors)

Group health plans cannot deny eligibility or charge higher individual premiums based on health status, claims history, or genetic information.

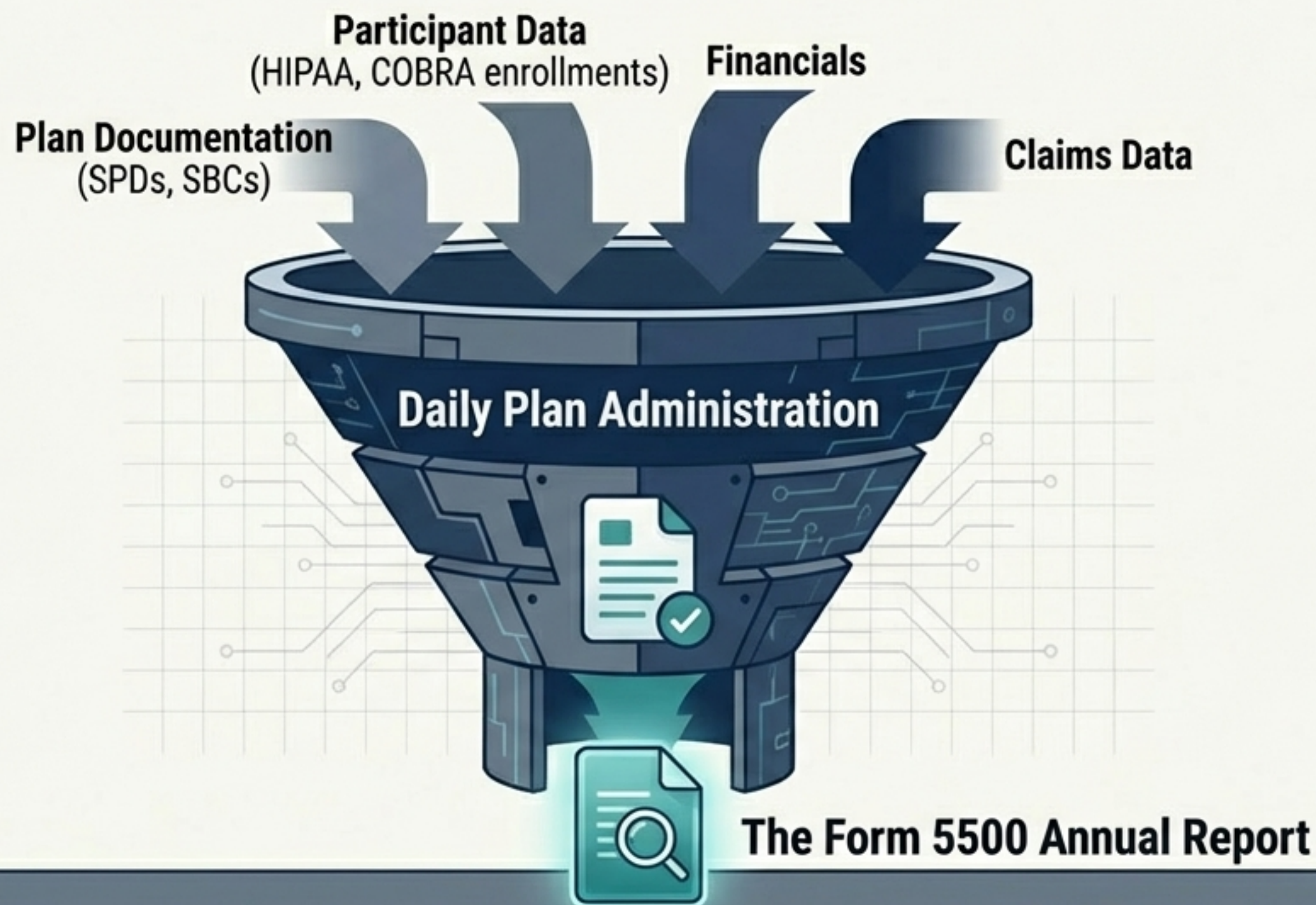
Code 105(h) (Self-Insured Plans)

Cannot favor Highly Compensated Employees (HCEs).

Must pass the Eligibility Test (benefiting 70% or 70/80% of non-excludable employees) and the Benefits Test (equal benefits for all).

Impact: Violating Code 105(h) results in the premium value being included in the HCE's taxable income.

The Ultimate Output: Annual Reporting



All plan design decisions, participant enrollments, and fiduciary actions culminate in the annual Form 5500 filing. Accuracy in this final digital output proves compliance across the entire organizational ecosystem.

Form 5500 Execution via ftwilliam.com

Plan Search & Setup Workflow



The 5500 Core Grid

Efficiency Callout:
Bring forward data tool: Imports previous year filings directly into the current year's draft, eliminating redundant data entry.

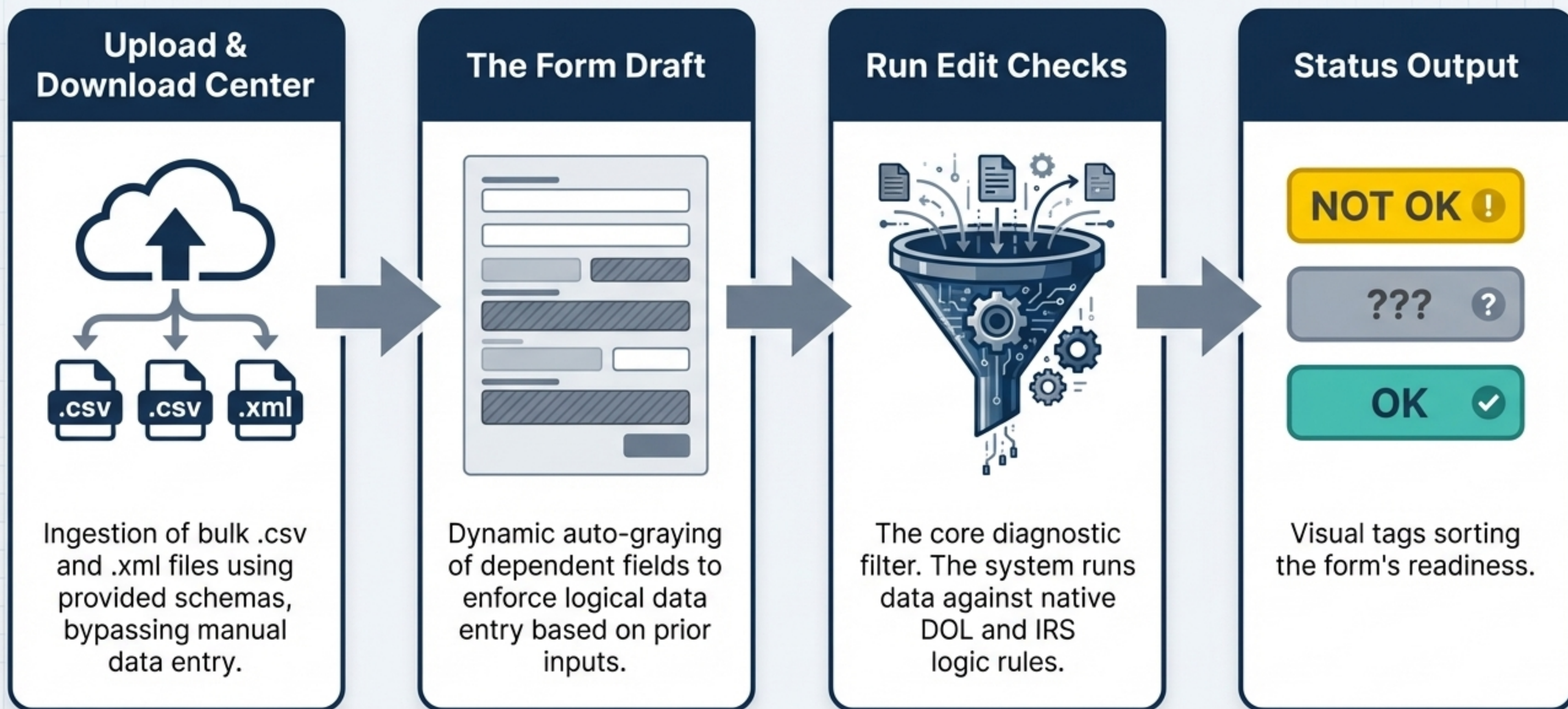
	Bring Forward Data Tool

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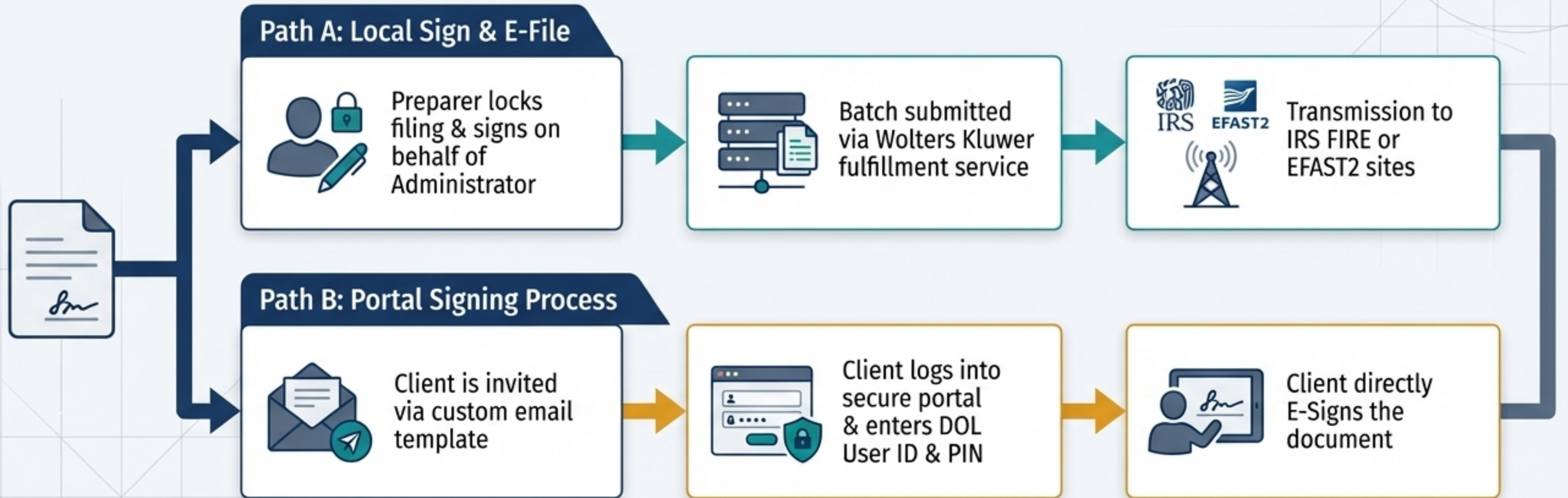
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Data Ingestion & The Edit Check Engine

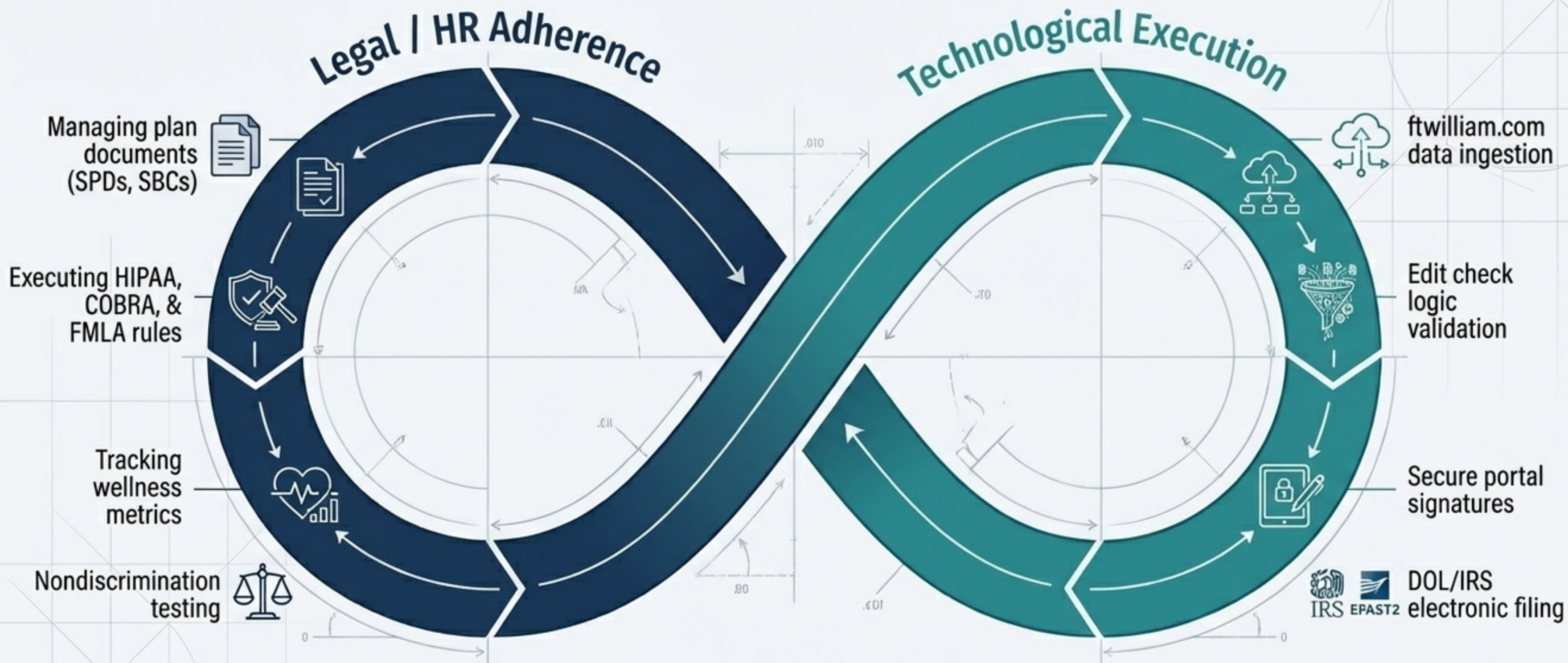


Digital Signing & Fulfillment (The Final Mile)



Batch Workflow Grid

Form 5558 (Extensions) and 8955-SSA (Separated Participants) are managed via parallel batch processing, with data easily exportable to .csv.



Modern Health & Welfare compliance requires rigorous legal adherence combined with seamless technological execution. The blueprint is built on the law; it is sustained by the software.